

The bane of all forecasts is the assumption that the future will be like the past. What gets missed is how much of what actually happened was not anticipated, unforeseeable, and therefore not in the models. We make forecasts *a priori* (before) but we experience the world *a posterior* (after). The result is that we believe we knew more than we actually did.

Hindsight bias is only the start of this erroneous process. This is how we are wired.

I have personally made some brilliant market calls (let's just forget the really dumb ones); I cannot tell you how much of these were hard work, genius, or luck. It's some of the former, much of the latter, and none of the middle. It is certainly *not* how I manage client money.

But the world wants to hear that someone has a secret formula, and they are willing to share that secret to fabulous wealth with you (for the low, low price of...).

Unfortunately, that is not how the future works.



Up next, I reveal the secret to making perfect forecasts. You are not gonna like it...

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[208](#) Barry Ritholtz, "Forecasting & Prediction Discussions," collected writings, The Big Picture.

[209](#) Philip E. Tetlock, *Expert Political Judgment: How Good Is It? How Can We Know?* (Princeton University Press, 2005).

[210](#) Philip E. Tetlock and Dan Gardner, *Superforecasting: The Art and Science of Prediction* (Crown, 2015).

[211](#) Ben Carlson, "How to Predict a Market Crash," A Wealth of Common Sense (July 23, 2021).